

TOP SECRET//SCI

CONTAINS SENSITIVE COMPARTMENTED INFORMATION
UP TO HCS-P/SI/TK

THIS IS A COVER SHEET

FOR CLASSIFIED INFORMATION

ALL INDIVIDUALS HANDLING THIS INFORMATION ARE REQUIRED TO
PROTECT IT FROM UNAUTHORIZED DISCLOSURE IN THE INTEREST OF THE
NATIONAL SECURITY OF THE UNITED STATES

HANDLING, STORAGE, REPRODUCTION AND DISPOSITION OF THE
ATTACHED DOCUMENT MUST BE IN ACCORDANCE WITH APPLICABLE
EXECUTIVE ORDERS, STATUTES AND AGENCY IMPLEMENTING
REGULATIONS.

(This cover sheet is unclassified.)

TOP SECRET//SCI



For the President
16 September 2026

Today's Brief

IRAN: Six-month war grinds on; Hormuz strikes and a fresh CBO cost estimate underline an open-ended commitment.

ENERGY: Brent tops \$107 as a Saudi export artery goes offline and tankers are hit in the Gulf.

US-ECONOMY: The Fed is set to raise rates today over the President's objection.

RUSSIA-UKRAINE: A roughly 200-drone overnight barrage hits Kyiv and energy sites as a short truce lapses.

CHINA: Beijing convenes Xiangshan with Pyongyang and Minsk in the room; Washington sends a mid-level delegation.

GAZA: Israel kills another Hamas brigade commander, calling it a response to ceasefire violations.

NOTES: Houthi strikes on Saudi cities; North Korea at Xiangshan; Java Sea ferry search.

For the President
16 September 2026



Iran War Enters Seventh Month With No Off-Ramp; Hormuz Remains the Flashpoint

We assess that the US–Iran war, now in its seventh month, has settled into an open-ended campaign of intermittent strikes that neither side appears able to end on acceptable terms. Fighting that began with the 28 February US and Israeli air campaign has outlasted a spring ceasefire and the June memorandum meant to wind it down; low-intensity exchanges continue, concentrated on the Strait of Hormuz, through which roughly a fifth of the world's seaborne oil transits. We judge the near-term trajectory is continued attritional fighting rather than either a decisive military result or a negotiated close.

- At least two tankers have been attacked in or near the strait since the weekend, and press reporting indicates US forces have again struck Iranian vessels in recent days after threats to shipping — a tempo consistent with the sporadic clashes of the past month rather than a new general offensive.
- A Congressional Budget Office estimate reported 15 September puts the war's cost at roughly **\$38 billion** through 1 August, rising about \$3 billion a month, with munitions stocks drawn down and years needed to replenish them — a figure that sharpens the domestic debate over an operation with no defined endpoint.
- Military chiefs from the United States, Israel, Saudi Arabia, the UAE, Bahrain, Kuwait, Qatar, Jordan and Egypt met in Germany to coordinate strategy; CENTCOM's commander signaled US forces will stay in theater despite Iranian attacks on regional bases.
- We continue to judge that Tehran retains both the intent and the residual capability to harass Gulf shipping and to threaten US installations across the region, even as its leadership remains unsettled following the decapitation strikes that opened the war.

Continued . . .



For Washington, the central question is whether the June framework can be revived before an incident at sea — a mined channel, a struck warship, a sunk tanker — forces a sharp escalation. We assess the mediators' track remains alive but fragile; a single high-casualty event in the strait is the most likely trigger for a wider exchange. Watch the tanker-attack tempo and any movement on prisoner or sanctions terms as the near-term indicators of which way this turns.

Prepared by ODNI with reporting from CIA, DIA, NSA, NGA, and open sources.

For the President
16 September 2026



Gulf Supply Shock Drives Brent Above \$107 as a Saudi Export Artery Goes Dark

We assess that the war's most immediate effect on US interests is running through the oil market rather than the battlefield. Brent settled near **\$107.5** on 15 September, its highest in about four months, after the closure of Saudi Arabia's East–West pipeline removed a key route for moving crude to the Red Sea without transiting Hormuz. With the pipeline offline for what Riyadh signals could be weeks, more Saudi barrels are being pushed back through the very strait that is under attack — tightening the market and raising the premium on any further disruption.

- The pipeline shutdown followed drone strikes on Saudi energy infrastructure; overhead imagery corroborates damage consistent with the reported closure and the cancellation of some Saudi shipments.
- We judge the price move reflects a genuine supply constraint layered on a war-risk premium, not speculation alone: an alternative to Hormuz has been taken out just as the strait itself is contested.
- The macro read-through is direct — sustained triple-digit crude feeds back into US inflation, complicating an already fraught interest-rate decision (see following item), and squeezes import-dependent allies in Europe and Asia.

We expect Riyadh to prioritize restoring the pipeline and to lean on spare capacity to steady the market, but repairs will take time and leave the system with little slack. A decision point comes if a Hormuz incident forces even a brief halt to strait traffic; in that scenario we assess a further, sharp spike is likely. What to watch: repair timelines on the East–West line, OPEC+ signaling on output, and US Strategic Petroleum Reserve messaging.

Prepared by ODNI with reporting from Treasury's Office of Intelligence and Analysis, the Energy Department's OICI, NGA, and open sources.

For the President
16 September 2026



Federal Reserve Poised To Raise Rates Today Over the President's Objection

We assess the Federal Reserve is likely to raise its benchmark rate today for the first time in three years, a move markets price at roughly 90 percent and one that would put the central bank in open tension with the President, who has pressed publicly for cuts. Friday's data showed core inflation firming in August — a reading the energy shock above will only aggravate — and the Fed appears set to prioritize price stability over the White House's growth-and-midterms argument.

- The President, Vice President, Treasury Secretary and senior White House economic advisers have all urged against a hike in an unusually broad public pressure campaign; Chair Kevin Warsh has held the line on the inflation case.
- Futures imply markets expect not one but a short series of increases — September, December and March — a meaningful repricing of the path of policy.
- We judge the friction is as much institutional as economic: a rate hike delivered into a sustained pressure campaign becomes a test of Fed independence that both markets and foreign counterparts are watching closely.

This item was still developing at brief time; the decision and Chair Warsh's remarks are due this afternoon. For the President, the near-term significance is political and market-facing — a hike sharpens the independence dispute and tightens financial conditions into an election year. Watch the vote split, the statement language on the oil-driven inflation impulse, and the market reaction in rates and the dollar.

Prepared by ODNI with reporting from Treasury's Office of Intelligence and Analysis and open sources.

For the President
16 September 2026



Russia Resumes Mass Drone Strikes on Ukraine as a Short Truce Lapses

We assess Moscow has returned to large-scale standoff strikes after the collapse of a brief pause, sustaining its strategy of grinding down Ukrainian energy and port infrastructure heading into the cold months. Overnight into 15 September, Russia launched on the order of 200 drones alongside missiles; in Kyiv the barrage killed at least one person and wounded seven, hitting fuel stations, warehouses and other civilian sites, with further damage reported around Izium, Bohodukhiv and Odesa.

- The strike pattern — energy nodes, ports and transport — is consistent with a deliberate campaign to degrade Ukraine's grid and export capacity before winter, not a one-off reprisal.
- The barrage followed the lapse of a short truce that had held during a recent US envoy visit, underscoring how little the diplomatic track has constrained the air war.
- On the economic front, the EU — having adopted its 21st sanctions package in July, tightening the net on Russia's shadow-fleet tankers and banks — is weighing further steps, including measures on Russian diplomats' movement and visa restrictions tied to service in the war.

For Washington, the practical stakes are Ukraine's ability to keep the lights on and exports moving through winter, and the durability of allied sanctions cohesion. We expect continued mass strikes and a corresponding Ukrainian push for more air defense. What to watch: the pace of grid damage, any Western decision on additional interceptors, and whether the sanctions track adds enforcement teeth against shadow-fleet evasion.

Prepared by ODNI with reporting from DIA, NSA, INR, and open sources.

For the President
16 September 2026



Beijing Convenes Xiangshan With Pyongyang and Minsk in the Room; Washington Sends a Mid-Level Delegation

We assess that the composition of this year's Beijing Xiangshan Forum, which runs through 16 September, is itself the signal: China is using its marquee security gathering to showcase a widening circle of aligned and non-Western states while the United States is represented only at the mid-official level. Defense Minister Dong Jun's keynote warned against 'hegemony, militarism and historical revisionism' — language we read as aimed principally at Japan and, by extension, at the US alliance architecture in the region — while avoiding naming Washington directly.

- Top-level or senior delegations came from North Korea (led by a vice minister), Vietnam, Malaysia and a roster including Belarus, Myanmar, Azerbaijan, Kyrgyzstan and Armenia; the US sent a senior Pentagon official rather than a principal.
- We judge the optics deliberately contrast a crowded Chinese-hosted table with a thinned Western presence — part of Beijing's effort to position itself as the convening power of a non-Western security order.
- The forum sits against live Taiwan and South China Sea pressure and comes ahead of anticipated Xi-Trump contacts; Beijing's messaging is calibrated to project confidence without provoking an incident before those talks.

For the United States, the meeting is a reminder that great-power competition is increasingly waged through convening power and alignment, not only hardware. We expect Beijing to keep courting middle powers and to keep Pyongyang and Moscow visibly close. Watch the readouts for any new bilateral defense understandings and for how the Xi-Trump channel develops in the weeks ahead.

Prepared by ODNI with reporting from DIA, CIA, INR, NSA, and open sources.

For the President
16 September 2026



Israel Kills Another Hamas Brigade Commander, Citing Ceasefire Violations

We assess Israel is conducting a sustained campaign of targeted strikes against Hamas's field command even as a ceasefire nominally holds, framing the operations as responses to what it calls systematic violations. On 15 September the IDF and Shin Bet said they killed Nael Abu Obeid, commander of Hamas's Rafah Brigade and a senior figure in the group's operations, in a strike in southern Gaza; Palestinian sources reported two dead, including an eight-year-old girl, and 14 wounded.

- The strike extends a run of eliminations of Hamas brigade- and battalion-level commanders in recent weeks, indicating an Israeli effort to prevent the group from reconstituting its military structure under cover of the truce.
- Israel says the targets were actively rebuilding Hamas capabilities in violation of the ceasefire; we judge the pattern points to a fragile, contested pause rather than a stabilizing one.
- The civilian toll in a strike Israel characterizes as precise will feed regional and international criticism and complicate the diplomacy around consolidating any longer-term arrangement.

For Washington, the risk is that a technically-holding ceasefire erodes through steady leadership strikes and civilian casualties until it fails outright. We expect Israel to continue decapitation strikes and Hamas to test the truce's limits. Watch for whether mediators can convert the pause into a firmer framework, or whether an incident tips it back toward open fighting.

Prepared by ODNI with reporting from CIA, DIA, INR, and open sources.

For the President
16 September 2026



Notes

Yemen/Saudi Arabia — Houthis strike Saudi cities; Riyadh vows a firm response. Iran-aligned Houthi forces hit Khamis Mushait, Abha and Taif with ballistic missiles and drones, wounding 13 civilians and prompting civil-defense alerts across the Kingdom's west and south; the coalition reported air strikes in Yemen in response and Saudi Arabia pledged to answer 'firmly.' We assess the exchange is of a piece with the wider regional war and adds to the pressure on Saudi energy infrastructure driving the oil market.

- **North Korea — visible at Xiangshan amid a busy missile year.** A DPRK Defense Ministry delegation attended the Beijing forum, days after Pyongyang's latest ballistic-missile launch — one of at least nine in 2026 — and as the President signals interest in another summit with Kim Jong Un. We judge Pyongyang is leveraging both the diplomatic opening and its accelerating production to bargain from strength.
- **Indonesia — Java Sea ferry search continues.** Authorities are still searching for scores of people missing after a ferry capsized in bad weather in the Java Sea; at least several are confirmed dead and well over 100 remained unaccounted for. No indication of anything other than a weather-and-safety disaster, but the casualty figure could rise.

Prepared by ODNI with reporting from DIA, NSA, INR, and open sources.